

United States Court of Appeals for the Fourth Circuit

Opening Brief of Appellant Asterglen Freight Software, Inc.

Asterglen Freight Software, Inc., Appellant, v. Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC, Appellees.

No. SYN-CA4-26-CV-4102 Appellate ECF No. 5 — Filed April 29, 2026

Asterglen appeals from a partial judgment dismissing with prejudice its \$480,000 contract claim against Copper Kestrel Logistics, LLC. The district court granted Copper partial summary judgment because Asterglen terminated the parties' Pilot License and demanded breach damages without first providing the written notice and fifteen-calendar-day cure opportunity stated in Section 9.2. JA192–198. Asterglen later moved for entry of judgment under Federal Rule of Civil Procedure 54(b). JA199–204. The court granted that motion and directed a separate judgment, but neither entered paper says expressly that there is no just reason for delay. JA216, JA220–221.

Asterglen first submits that the court's grant, viewed with the motion it granted and its entry of a claim-specific judgment, should permit review. It recognizes, however, that Rule 54(b)'s text and this Court's decisions require close jurisdictional scrutiny. If the omitted determination defeats finality, the appeal should be dismissed and the matter remanded without a merits decision or vacatur of the January 12 order. If jurisdiction exists, Asterglen asks the Court to reverse the Count I judgment and return that claim for further proceedings.

Disclosure, contents, and principal authorities

Asterglen has no parent corporation, and no publicly held corporation owns ten percent or more of its stock. No publicly held corporation has been identified as having a direct financial interest in the outcome of this appeal. Asterglen will supplement that disclosure if circumstances change before final disposition.

This brief proceeds from jurisdiction and the issues presented to the factual and procedural record, then to a summary of argument. The argument addresses Rule 54(b)'s two-step inquiry, the missing express determination, the relationship of the remaining claims, and the limited consequence of a jurisdictional defect. Only after that threshold discussion does the brief preserve Asterglen's challenge to summary judgment on the notice-and-cure issue.

The principal jurisdictional authorities are 28 U.S.C. § 1291; Federal Rule of Civil Procedure 54(b); *Kinsale Insurance Co. v. JDBC Holdings, Inc.*, 31 F.4th 870, 873–76 (4th Cir. 2022); and *McPherson v. Patton*, No. 23-1938, slip op. at 4–7 (4th Cir. Oct. 15, 2024), an unpublished disposition. Federal Rule of Civil Procedure 58 concerns the separate judgment, and Federal Rule of Appellate Procedure 4 governs notice timing. Rule 56 supplies the summary-judgment standard. Asterglen cites the unpublished decision for its reasoning, not as binding precedent.

Jurisdictional statement

The district court possessed diversity jurisdiction under 28 U.S.C. § 1332. Asterglen is a Virginia corporation with its principal place of business in Virginia. Copper is a North Carolina limited liability company whose sole member is domiciled in North Carolina. Meridian is a Maryland limited liability company whose sole member is domiciled in Maryland. The Complaint seeks \$480,000 on Count I and \$360,000 on Count II, exclusive of interest and costs. JA1–8.

This Court has jurisdiction over final decisions under 28 U.S.C. § 1291. Count I was dismissed with prejudice on January 12. JA192–198. The district court granted Asterglen's Rule 54(b) motion on February 4 and directed entry of a separate judgment. JA216. The Clerk entered a partial judgment that day. JA220–221. Count II and Copper's amended counterclaim remained pending. JA216, JA228–234.

The jurisdictional difficulty is that neither the February 4 order nor the judgment expressly determines that there is no just reason for delay. Asterglen disclosed that omission in its docketing statement. The March 3 Notice of Appeal was filed within the ordinary thirty-day period measured from February 4; under that premise, the deadline was March 6. JA222–224. Timeliness does not cure nonfinality. If Rule 54(b)'s express condition was not satisfied, § 1291 does not authorize merits review, and dismissal with remand is required.

Issues presented

1. Whether an order granting a motion that requested the precise Rule 54(b) determination, followed by a separate partial judgment, satisfies Rule 54(b) when neither entered document expressly states that there is no just reason for delay.
2. If the required determination is absent, whether the proper disposition is to dismiss this appeal and remand without reaching the merits and without vacating the January 12 partial-summary-judgment order, which remains subject to district-court revision while other claims are pending.
3. Only if appellate jurisdiction exists, whether Copper was entitled to summary judgment on Count I when Section 9.2 required written notice and a fifteen-calendar-day cure opportunity before termination for breach or breach damages, but Asterglen contends the provision did not bar recovery for completed unauthorized use and that compliance was excused.

The first issue concerns the language entered by the district court, not a dispute about what Asterglen requested. Its motion asked for an express determination and addressed the considerations governing certification. JA199–204. Defendants opposed and warned that a bare grant or separate judgment would not supply the required judicial statement. JA205–211. The court then granted the motion without adopting the requested language. JA216. The third issue is preserved because the Notice of Appeal identifies the January 12 order, but this Court should not address it unless the jurisdictional condition is met.

Statement of the case: claims and parties

Asterglen licenses BeaconRoute software used in freight-terminal operations. Its March 3, 2025 Complaint alleges that Copper exceeded the scope of a limited pilot and that Meridian assisted the disputed expansion despite knowing a written change had not been completed. JA1–8. Count I asserts breach of contract against Copper and seeks \$480,000. Count II asserts interference against Meridian and seeks \$360,000 while disavowing double recovery. *Id.*

Copper denied liability and pleaded a counterclaim arising from Asterglen's July 22 termination, service disablement, and asserted failure to honor Section 9.2. JA9–18. Copper later filed an amended counterclaim maintaining a \$120,000 demand based on interruption, restoration, and related costs. JA31–36. Asterglen denied that claim and asserted, among other positions, that the cure procedure did not apply identically to every consequence of the alleged misuse. JA37–41.

Meridian denied inducing a breach and maintained that its work followed Copper's instructions and its own statement of work. JA19–24. Its alleged intent and the cause of any interference loss remain disputed. Thus, after the January 12 disposition, the district court retained an affirmative claim against Meridian and Copper's affirmative claim against Asterglen. Both concern portions of the same 2024 course of conduct, but neither was the subject of Copper's Count I summary-judgment motion.

The Pilot License and written change process

Asterglen and Copper signed the Pilot License on April 15, 2024. The agreement authorized 12 identified terminals, controlled credential use, and required a written change process for expansion. JA42–54. It did not transfer ownership of BeaconRoute or authorize Copper to enlarge the licensed population unilaterally. The agreement selects Virginia substantive law. JA42–54.

Section 9.2 states a sequence for a material breach: written notice describing the asserted breach and a fifteen-calendar-day opportunity to cure before termination for breach or a demand for breach damages. The parties agree on that language. They disagree about its application to activity Asterglen characterizes as completed misuse and to the remedies stated in Asterglen's July 22 communication.

Copper proposed a written change order on June 3 seeking 29 additional terminals. JA55–59. Asterglen did not sign that proposal. On June 10, it provided written load-test conditions preserving the 12-terminal license boundary, limiting expanded access to controlled testing, and requiring a completed change for commercial deployment. JA60–64. Meridian's June 14 statement of work with Copper described configuration and integration tasks for the proposed terminal group, but Asterglen was not a party to that separate engagement. JA65–71. These writings frame both the scope dispute and the later cure controversy.

Provisioning and the disputed July 8 discussion

By July 1, the provisioning ledger listed 41 BeaconRoute identifiers: 12 associated with the signed pilot and 29 associated with the proposed expansion. JA72–78. Asterglen maintains that provisioning enabled technical evaluation and did not confer contractual permission for unrestricted production use. Copper responds that the configuration reflected the parties' anticipated test and later oral direction. The mere existence of an identifier does not resolve whether its use stayed within the written conditions.

Representatives of all three entities spoke on July 8. The contemporaneous notes and follow-up messages preserve different understandings. JA79–84. Copper understood Asterglen to allow continued activity while paperwork remained open. Meridian understood permission for integration work. Asterglen understood the statement to permit only a bounded load test under the June 10 restrictions. No signed change order followed the call.

Deposition testimony confirms the disagreement rather than eliminating it. Asterglen's corporate witness denied granting permanent expansion authority. JA110–119. Copper's operations witness described permission to continue current activity but acknowledged that Section 9.2 was not waived. JA120–128. Meridian's engineer treated the instruction as operational permission for the ongoing test, not authority to bind Asterglen to a license amendment. JA129–136. Those competing accounts bear on unauthorized use, but the district court concluded they did not alter the required cure sequence.

Audit, immediate termination, and cure evidence

Asterglen completed a compliance audit on July 18. The audit compared the license schedule, provisioning information, activity logs, and integration records and reported activity Asterglen believed exceeded the limited pilot. JA85–90. The audit was internal. It was not delivered to Copper as a Section 9.2 breach notice, did not identify a cure deadline, and did not offer continued performance if correction occurred.

On July 22, Asterglen disabled a shared staging credential, declared the Pilot License terminated immediately, and demanded \$480,000. JA91–97. The communication described Asterglen's asserted misuse but allowed zero cure days. Copper objected that Section 9.2 required a written notice followed by fifteen calendar days and stated that it could reduce the active set to 12 terminals within three business days. Meridian continued limited technical work through July 25, which Asterglen characterizes as continued interference and Meridian characterizes as shutdown and preservation activity.

The cure-feasibility declaration describes a controlled reduction from 41 identifiers to 12 within three business days and associated test results. JA137–144. Asterglen disputed whether the later exercise reproduced live July traffic and whether prospective reduction could remedy completed injury. Copper relied on the exercise to show that cure was technically possible. The damages and offset materials separately address Asterglen's claimed loss and Copper's \$120,000 demand. JA145–150.

Partial-summary-judgment proceedings

Copper moved for partial summary judgment on Count I alone. JA151–154. Its memorandum argued that, even assuming activity beyond written authorization, Asterglen could not recover contract damages after invoking termination and damages without the procedure required by Section 9.2. JA155–163. Copper's fact statement identified the agreement, communications, audit, July 22 action, and proposed cure as undisputed or immaterial to the notice sequence. JA164–170.

Asterglen opposed. It argued that the agreement must be read as a whole, that completed unauthorized use was not fully remediable, that Copper's position treated a cure clause as a license for uncompensated use, and that excuse doctrines could apply. JA171–179. Meridian submitted a limited response explaining that Count II shared evidence with Count I but presented different elements. JA180–185. Copper's reply emphasized Asterglen's admissions that no compliant notice or cure interval preceded the selected remedies. JA186–191.

The district court granted Copper's motion on January 12. JA192–198. It assumed for the motion that Asterglen could prove activity outside written authorization, yet held that Section 9.2 conditioned termination for breach and breach damages on the agreed notice-and-cure sequence. The court found the July 8 disagreement immaterial to that sequence and concluded that the feasibility evidence defeated Asterglen's futility theory. It dismissed Count I with prejudice while expressly leaving Count II and the counterclaim unresolved.

Rule 54(b) proceedings and separate judgment

Asterglen moved on January 20 for entry of partial final judgment. Its motion asked the district court to identify Count I as finally disposed of, determine expressly that there was no just reason for delay, and direct a separate judgment. JA199–204. It distinguished the elements and party alignment of the remaining claims while acknowledging shared evidence and a possible setoff. It also stated that certification would not stay the district proceedings automatically.

Defendants opposed on January 30. JA205–211. They emphasized that all three claims depend on the license, additional terminals, July communications, audit, termination, cure evidence, and competing damages positions. They argued that Copper's unresolved counterclaim could offset any revived Count I recovery and that two appeals could require repeated review. Defendants specifically stated that a separate judgment could not replace Rule 54(b)'s express judicial determination.

Asterglen replied on February 2, again requesting the precise determination. JA212–215. On February 4, the court entered a one-page order stating that it had reviewed the papers, granting the motion, and directing a separate judgment on Count I. JA216. The order restated that Count II and the amended counterclaim remained pending but did not say there was no just reason for delay. The partial judgment likewise dismissed Count I with prejudice and preserved the other claims without adding findings or the missing determination. JA220–221.

Summary of argument

Count I received an ultimate disposition: it was dismissed in full and with prejudice. Rule 54(b)'s first step is therefore satisfied. The harder question is the second step. Asterglen asked for the exact no-just-reason determination, briefed the governing considerations, and obtained an order granting the motion plus a separate judgment. Asterglen submits that those connected papers make the district court's intent unmistakable and should be treated as satisfying the rule.

That submission faces substantial contrary text and authority. Rule 54(b) says judgment on fewer than all claims may be directed only if the court expressly determines that there is no just reason for delay. *Kinsale* treats the determination as a distinct, case-specific act and stresses the value of findings. The unpublished *McPherson* disposition rejected materially similar reliance on a grant and partial judgment when the required determination was absent.

If the Court concludes that the omission controls, it should dismiss and remand without deciding whether certification would have been a sound exercise of discretion and without reviewing or vacating the Count I order. The partial merits ruling remains in the district court, where it is revisable while claims remain pending. Section 1292 does not furnish an alternative basis on this record. Only if jurisdiction exists should the Court consider Asterglen's preserved contention that Section 9.2 did not support summary judgment.

Argument I: Count I was finally disposed of as an individual claim

Rule 54(b)'s first step asks whether the district court ultimately disposed of an individual claim in a multiple-claim or multiple-party action. *Kinsale*, 31 F.4th at 873–74. The January 12 order meets that claim-finality requirement. Copper's motion addressed the whole of Count I, the court granted the motion, and the decretal language dismissed Count I with prejudice. JA192–198. Nothing remained for the district court to adjudicate on Asterglen's contract demand against Copper.

Count I is not simply one theory or remedy within an unresolved claim. It seeks recovery from Copper under the Pilot License for alleged unauthorized use. Count II seeks recovery from Meridian for alleged interference. Copper's amended counterclaim seeks relief from Asterglen based on the July 22 disablement and cure procedure. Although the claims share events, each has a distinct party alignment, source of duty, and requested judgment.

The separate partial judgment confirms the scope of the disposition. It enters judgment for Copper and against Asterglen on Count I, orders Asterglen to take nothing on that claim, and states that the action remains open for Count II and the counterclaim. JA220–221. This clarity satisfies the first inquiry but does not answer the second. Asterglen does not contend that claim finality alone permits an appeal. Rule 54(b) still requires the express determination concerning delay before § 1291 jurisdiction attaches.

Argument II: Asterglen's substantial-compliance position

Asterglen's motion did not merely request judgment. It quoted Rule 54(b)'s requirement, asked the court to determine expressly that there was no just reason for delay, and addressed claim relationship, possible mootness, repeated review, setoff, and equities. JA199–204. The court stated that it reviewed the motion, opposition, reply, and record, then granted the motion and directed judgment. JA216. Asterglen argues that granting that specifically framed request necessarily accepted the requested determination.

The separate judgment reinforces the court's intent to convert the completed Count I ruling into an appealable judgment. JA220–221. Unlike a case involving only an adverse interlocutory order, this record contains a motion invoking Rule 54(b), adversarial briefing on the correct standard, a grant of that motion, and a separate claim-specific judgment. Asterglen therefore asks the Court to read the papers together rather than isolate the one-page order from the request it granted.

Asterglen also contends the practical considerations supported certification. Count I was entirely dismissed; Count II requires proof of Meridian's intent and causation; and the counterclaim has its own damages proof. Later proceedings cannot themselves restore Count I. Any established setoff can be accounted for after review. These points explain why Asterglen sought the express determination. They cannot, however, insert words into the court's order, and Asterglen acknowledges the Court must decide whether inferred acceptance can satisfy a rule that expressly demands an express judicial determination.

Argument III: The textual omission and controlling framework

Rule 54(b) provides that a court may direct entry of final judgment on fewer than all claims only if it expressly determines that there is no just reason for delay. The direction and determination are separate requirements. Here the court plainly directed judgment. It did not state the required determination in its order or judgment. JA216, JA220–221. Asterglen's own requested language is advocacy, not an entered judicial finding.

Kinsale reinforces that distinction. The decision describes a two-step analysis: ultimate disposition of an individual claim, followed by a case-specific determination concerning delay. 31 F.4th at 873–76. It warns against fragmented appeals and identifies factors including claim relationship, possible mootness, repeated review, counterclaims producing setoff, and other equities. Findings facilitate deferential review of the district court's exercise of discretion. The February 4 order contains no factor analysis.

McPherson is unpublished and nonbinding, but its reasoning addresses the precise structural omission. There, a grant of a Rule 54(b) motion and a partial judgment did not satisfy the rule because the district court omitted the express no-just-reason determination. Asterglen preserves its contention that the fuller motion record here supports reading the grant differently. It nevertheless recognizes that the rule's text and *McPherson* strongly support dismissal. If this Court holds that explicit words are indispensable, Asterglen's intent-based argument cannot establish jurisdiction.

Argument IV: Claim overlap cannot substitute for the missing act

The parties dispute whether certification would be wise. Defendants point to shared evidence: the 41 identifiers, July 8 accounts, audit, termination, cure feasibility, continued Meridian work, damages, and possible setoff. Asterglen emphasizes different elements and parties. Those considerations matter when a district court makes and explains the no-just-reason determination. They do not permit the court of appeals to make that determination initially on an incomplete order.

Appellate review of certification ordinarily asks whether the district court acted within its discretion. Without an express determination, there is no exercise of that discretion to review. A court of appeals should not search the parties' briefs, choose among their competing descriptions, and then pronounce the judgment final on grounds the district court never adopted. Doing so would collapse Rule 54(b)'s allocation of responsibility.

The status of the remaining claims underscores the point. Count II and the counterclaim were pending when the order was entered, when the notice was filed, and when the district record was certified. JA228–234. The February 4 judgment therefore was not an ordinary judgment resolving the whole case. It needed Rule 54(b)'s exception to become final. If the express condition was absent, factual distinctness cannot create finality by itself. Conversely, dismissing this appeal need not decide that certification could never be proper after a supported determination on the current or later record.

Argument V: Dismissal and remand are the limited jurisdictional remedy

If the February 4 papers fail Rule 54(b), the Court should dismiss the appeal for lack of jurisdiction and remand the matter for further district-court proceedings. It should not reach the contract merits. A jurisdictional dismissal says nothing about whether Copper ultimately deserved summary judgment, whether Asterglen may seek revision below, or whether a later supported certification would be permissible.

The Court also should not vacate the January 12 order merely because immediate appellate review is unavailable. That order remains part of the ongoing district action and is subject to the district court's authority over decisions that adjudicate fewer than all claims. *Kinsale* followed this disciplined course by dismissing and remanding without disturbing the underlying partial ruling. 31 F.4th at 876. Vacatur would improperly grant merits-affecting relief when appellate jurisdiction is missing.

No alternative statute saves this appeal. Section 1292(a)(1) covers specified injunction orders, and no injunction is at issue. Section 1292(b) requires a district certification of a controlling legal question and court-of-appeals permission; neither occurred. The collateral-order doctrine is neither invoked nor supported by this ordinary contract ruling. The parties cannot manufacture § 1291 jurisdiction by agreement, and the timely March 3 notice addresses only the filing clock. If Rule 54(b) was not completed, the matter must return without a substantive appellate holding.

Argument VI: Preserved Count I merits issue

Only if the Court finds jurisdiction should it review the January 12 summary judgment de novo, viewing the record and reasonable inferences in Asterglen's favor. Asterglen accepts that Section 9.2 requires written notice and fifteen calendar days to cure before termination for a remediable breach or breach damages. It contends, however, that the agreement distinguishes prospective correction from liability for completed use outside the written license, and that disputed evidence precluded treating every component of its demand as barred.

The July 8 discussion is disputed. Asterglen's witness limited any permission to controlled testing; Copper's witness understood broader continuation; Meridian's witness described ongoing integration but no authority to amend Asterglen's license. JA110–136. The later three-business-day exercise showed that identifiers could be reduced in a controlled environment, but Asterglen disputed whether reduction cured completed operational use and response costs. JA137–150. On Asterglen's view, those conflicts affect both breach and excuse.

Copper answers that Asterglen's July 22 writing expressly invoked immediate termination and \$480,000 in contract damages, both remedies covered by Section 9.2, after no compliant notice and no cure interval. JA91–97. The district court accepted that position. JA192–198. Asterglen preserves reversal and remand for fact resolution, but it does not ask the Court to offer an advisory merits view if finality is absent. Jurisdiction must be decided first and independently.

Conclusion and certificates

Asterglen respectfully requests that the Court hold the February 4 grant and partial judgment sufficient under Rule 54(b), exercise jurisdiction, reverse the Count I summary judgment, and remand that claim for further proceedings. If the Court concludes that the missing express determination defeats finality, Asterglen requests dismissal of this appeal and remand without reaching the contract merits and without vacating the January 12 order.

This brief contains the jurisdictional disclosure required by the Court's docketing notice and accurately states that Count II and Copper's amended counterclaim remain pending. Record citations use the continuously numbered district record. No factual assertion depends on material outside that record, and no transcript is cited because the relevant motions were decided on written submissions.

The undersigned certifies that the brief complies with the applicable type-volume and formatting requirements based on the word count produced by the filing system, excluding material the rules exclude. The brief was prepared in a proportionally spaced typeface suitable for appellate filing. Any required electronic-virus review was completed before submission.

I further certify that on April 29, 2026, this brief was filed through the Court's electronic filing system and served electronically on counsel for Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC. Filed for Asterglen Freight Software, Inc. by its appellate counsel of record.